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Live and Dead Issues in the Methodology of Economics

By Lionel Robbins

I

1. The purpose of this note is a very humble one; it is an attempt to eliminate certain causes of unnecessary confusion. In the last ten years much has been written both by professional economists and by laymen on the methodology of economics. Some of this, as it seems to me, has been concerned with live issues—with issues, that is to say about which intelligent men may well differ even when they have become fully aware of each others premises. But some of it seems to rest upon misunderstanding and to relate to issues upon which there is no real dispute once the question is clearly stated. This note merely attempts to separate out some of these issues, particularly those that relate—or are thought to relate—to the vexed question of the status of realistic studies—to separate the quick from the dead in order that we may not any longer be encumbered by the latter. I hope that the absence of references will not be misunderstood. It would be easy enough to indicate the authorship of the misconceptions which are mentioned; and in certain cases the temptation has been strong. But I cannot help thinking that the purpose of the note is better served by deliberately refraining from assigning responsibility for what may seem to be obvious error. The issues are intellectual, not personal.

II

2. To deal first with dead issues. That the object of economics is to understand reality is not a proposition which is likely to be questioned by any economist. Indeed, if this had not actually been questioned by others, an apology would be necessary for stating anything so obvious. It is possible that, in the course of discussions of the exact nature

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of some of the postulates of pure theory (see paragraph 5 below) phrases may have been used—the " logic of choice ", " deduction from the nature of the economic ", for instance —which, to those who are not acquainted with the exact context of the discussion, may suggest something else. But whatever may be the impressions of laymen, I cannot conceive the economist whose aim is not to understand reality; and I do not think that the whole literature of economics could furnish any fair quotation which could be adduced to show the contrary. As I myself have been pilloried as a sort of scientific antichrist in this connection, perhaps the following quotation from one of my own works may not be thought to be inappropriate :—

> " It is a characteristic of scientific generalisations that they refer to reality. Whether they are cast in hypothetical or categorical form, they are distinguished from the propositions of pure logic and mathematics by the fact that in some sense their reference is to that which exists, or that which may exist, rather than to purely formal relations.
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> " In this respect, it is clear, the propositions of economics are on all fours with the propositions of all other sciences. As we have seen, these propositions are deductions from simple assumptions reflecting very elementary facts of general experience. If the premises relate to reality the deductions from them must have a similar point of reference.
>
> " It follows, therefore, that the belief often expressed by the critics of economics, that it is a mere system of formal inferences having no necessary relation to reality, is based upon misconception. It may be admitted that our knowledge of the facts which are the basis of economic deductions is different in important respects from our knowledge of the facts which are the basis of the deductions of the natural sciences. It may be admitted, too, that, for this reason, the methods of economic science—although not the tests of its logical consistency—are often different from the methods of the natural sciences. But it does not follow in the least that its generalisations have a ' merely formal ' status—that they are ' scholastic ' deductions from arbitrarily established definitions . . . . . .
>
> " It follows, too, that it is a complete mistake to regard the economist, whatever his degree of ' purity ', as

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concerned merely with pure deduction. It is quite true that much of his work is in the nature of elaborate processes of inference. But it is quite untrue to suppose that it is only, or indeed mainly, thus. The concern of the economist is the interpretation of reality. The business of discovery consists not merely in the elucidation of given premises but in the perception of the facts which are the basis of the premises."[1]

I do not think that the terminology of this passage is very felicitous. I can see all sorts of live issues concerning method lurking about the hinterland of certain sentences. But I do not think it is a very live issue to discuss whether its author believed that, in some way or other, it was his duty to study the real world.

3. I do not think that the issue is much livelier concerning the nature of that aspect of reality which economists have to study—the so-called question of scope.

In recent years, following Menger, some of us have canvassed the claims of definitions which explicitly draw attention to that fundamental limitation of goods in relation to wants which is the condition of the existence of conduct having an economic aspect. Economics, we have suggested, is essentially the study of the disposal of scarce goods and services.

This suggestion has not met with universal acceptance. But the difference between this and other definitions now current is not a very serious matter. It is probable that those who do not find this definition acceptable would prefer some such definition as that of Professor Pigou who regards economics as concerned with conduct which can be brought into relation with the measuring rod of money. As I have explained elsewhere, I myself feel that this suggests an unnecessary restriction of the subject matter of economics to a certain institutional setting. But this is a very minor point indeed. We surely can all agree that, in order that conduct may be brought into relation with the measuring rod of money, it must concern goods and services which are scarce. Whether we define the actual subject matter of study in terms which cover all institutional settings (the "scarcity" definition) or limit it to those settings with which we are most preoccupied (the "exchange" definition), is not a matter about which sensible people will waste many precious moments.

[1] *An Essay on the Nature and Significance of Economic Science*, 2nd Edition, 1935, pp. 104-5.

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The only question with regard to the scope of economics which can be said to be in any sense alive, is the question whether economics, as such, can be said to include judgments of what is good or bad in the world of relative scarcities, as distinct from judgments of what exists or what might be conceived to exist. Here at least there is some appearance of difference. To many of us it seems that there is a definite difference of status between the proposition, for instance, that a market tends in a certain direction and the proposition that it is good that it should so tend. The one seems to be a judgment of fact—a proposition of what I should call economic science—the other a judgment of value—a proposition of what I should call ethics or social philosophy —and I should have thought that such a difference was fairly well established. But, in recent years, there have been some who have urged that the distinction should not be made. Economics, they say, should include both judgments of fact and judgments of value. Those who say otherwise are condemning it to a position of triviality and insignificance.

At first sight there seems complete deadlock. In fact, however, it usually turns out that those who adopt this latter attitude, are concerned not so much with problems of definition as with problems of conduct or deportment. They think that the economist will sacrifice opportunities for usefulness if he abstains from excursions into social philosophy and (apparently) they think that if such excursions are not dignified by the title, economic science, he may feel precluded from making them. The warning may be necessary. But the psychology may be questioned. To me at least, it seems difficult to believe that recognition of the distinction between the two kinds of proposition will prevent any man of spirit from being interested in both; and I certainly think that there is considerable utility in realising that the kind of test to which we may appeal in the one case is not available in the other. (I can prove by well-known methods of research that Professor X has devoted scarce time to controversy with Professor Y; but the proof that it was a good thing that he should have done this, rests on a different kind of argument.) I should, however, be the first to agree that the economist who thinks that his subject is capable of being used as a basis for policy without further appeal to social philosophy is cherishing a naïve delusion. My

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innocent remark that "equilibrium is just equilibrium" meant exactly that. And if I found anyone who could not pluck up courage to indulge in the relevant social philosophising unless he were permitted to call it economics, I should regret the inhibition as tending to mislead the laity. But I should not make it the subject of great lamentation.[1]

4. We have just seen that it is not disputed that the object of economics is to understand a certain aspect of reality. It is equally undisputed that, in order to understand reality, reality must be studied. Here again, if it were not for the misunderstandings of the recent past, an apology would be due for emphasising the obvious. I do not think that there is a single professional economist living who would dispute that the appropriate method of economics is the construction and development of hypotheses suggested by the study of reality and the testing of the applicability of the results by reference back to reality. There will obviously be legitimate differences of opinion concerning the reliability of particular forms of deduction and induction. And as we shall see later on, there are differences between the social sciences and the natural sciences, both in regard to the nature of the material handled and in regard to the reliability of the results of empirical tests, which may easily give rise to problems about which reasonable men may hold very different views. But on the necessity for the combination of deduction and induction, of theory and realistic studies, there is no dispute among sensible people. In a subject so wide as economics it is natural that there should develop some division of labour, that some should specialise on the more theoretical developments, some on description and verification. But it is not true that those whose interests are predominantly theoretical take a view of their functions any different from the view of his functions taken, let us say, by the theoretical physicist.

It is no more true that, in the majority of centres of study, the theoretical branches of our subject are cultivated at the expense of the applied—often as outside opinion may assert the contrary. On the contrary, it is probably true to say that, in the past, the development of pure theory has lagged behind because of the greater prestige of studies having

[1] If the resuscitation of the old term Political Economy were acceptable as a rough description of this type of speculation, I think that perhaps we might agree even upon terminology.

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more immediate relevance to practice. And because of the exigencies of the teaching programme in the relatively small departments of economics, characteristic of many British Universities, there is not much time for excessive concentration on pure theory. It is only in a few privileged centres that any considerable division of labour has proved to be possible; and even here the extent to which it actually goes is capable of grotesque exaggeration.[1]

What is true, of course, is that there is not yet nearly enough quantitative investigation of the applicability of the conclusions to which recent theoretical developments have given rise. Recent speculation has shown us a vast range of possibilities: until we have much more quantitative knowledge about the real world, we have to rely chiefly on hunch to say which possibility is probable. As Mr. Keynes has well put it: "Before we can either perfect our theory or apply it with safety to practical issues, there is another kind of knowledge which we need to increase:—namely, exact quantitative information concerning contemporary transactions . . . . The collection and arrangement of comprehensive statistics is of vast importance 'in order to eliminate impressionism.'"[2]

To do this, however, two conditions are essential—willingness on the part of governments and the business world to provide access to the facts, and sufficient endowment of faculties of economics to provide the computing and collecting assistance which such types of work necessarily involve. Unfortunately, in Great Britain at least, neither of these kinds of assistance has very often been forthcoming. But on the necessity for such developments there is not, and there has not been, any disagreement whatever.

III

5. There are, however, two questions, apt to be confused with this, on which disagreement is still very lively.

The first of these relates to the exact logical status of certain of the more general assumptions on which pure economics is based. It is well known that much of the structure of pure analysis depends upon assumptions of

[1] Thus for instance, at the London School of Economics, of some twenty-five members of the Economics Departments, not more than three or four can be regarded as predominantly specialised on pure theory.

[2] *Treatise on Money*, Volume II p. 407. It is curious that the author of this passage and the distinguished contribution to the applied theory of money in which it occurs, should have recently been singled out for public censure for "unscientific" methods of procedure.

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a very general character—the so-called economic principle, the assumption of an order of preference, etc. Now concerning the status of these assumptions there exist very lively differences. One school of thought regards them as essentially rational principles which are given *a priori* and which, while they show themselves in experience, yet require no appeal to experience to demonstrate their ultimate validity. Another, while not disputing the wide generality of their applicability, regards them as being derived from experience and having the same provisional status as the more obviously empirical assumptions. The former view has been very powerfully urged by Professor Mises and Dr. Bernardelli, the latter by Dr. Kaufmann and Mr. Hutchison among others; and dispute is still very active.

Now this is a matter of fundamental philosophical interest; and it is by no means to be regarded as settled by off-hand reference to fashionable beliefs regarding the logical status of the principles of the natural sciences. There could be no worse example of *a prioriism* in methodology than the calm assumption that what may be true of one branch of knowledge is necessarily true of others, without detailed examination of the body of knowledge which it is desired to classify. There are very fundamental epistemological questions involved here; and he would be a bold man who would regard the problems of epistemology as settled. I myself would confess to real doubt on the issue; and in the work alluded to above I have tried—in the first edition unsuccessfully, in the second, I hope, with greater, if not complete, success—to use a terminology which steers clear of the ultimate questions involved.

But whatever may be the truth about this most difficult question, it must be insisted that its interest lies outside economics. It is philosophical rather than practical. Whether we think that the main assumptions of the pure theory of choice rest upon observation or upon *a priori* knowledge, we all agree about the main conclusions. If they rest upon *a priori* knowledge then, to that extent they are certain. If not, even so it would still be agreed that the facts of experience corresponding to these particular assumptions are so general that they may be treated *as if* they were certain. Only one who knew nothing about pure economics could contend that the assumptions in question have been insufficiently tested.

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Moreover, whatever the solution of the problem, its effects on practice would be very little. For no one has contended that conclusions drawn from the so-called *a priori* principles can be applied to the interpretation of particular cases without the use of supplementary assumptions whose foundation is obviously empirical and whose applicability must therefore be the subject of continual verificatory tests. If the widest claims of *a prioriism* were generally admitted, the necessity for continuous empirical study would not be in the least diminished.

6. There is, however, another issue which at first sight has a greater bearing on practice. It concerns the exact significance to be attached to the results of certain kinds of observation. Since probably it is misunderstanding of the implications of this controversy which has led to most of the current misconceptions concerning the status of realistic studies, it is perhaps desirable to deal with it in rather greater detail.

Let me try to make precise the exact nature of the methodological issue: its implications for practice will then become fairly obvious.

It will be generally agreed among those who have given serious attention to the facts that, whatever their exact logical status, the assumptions of what is usually called pure theory permit a considerable elaboration of deductive reasoning, which, with judicious choice of supplementary assumptions, can usefully be applied to the interpretation of a very wide field of phenomena. Whether, as some think, they are based upon rational principles or whether they are based upon experience so general that it is difficult to conceive situations to which they do not apply, these principles, like the principles of classical mechanics, are for practical purposes to be regarded as having an applicability which, if not ubiquitous and permanent, is at least sufficiently widespread to make it superfluous to bother much about them, each time they are involved. We should all agree that the mythical Schmoller student who, after five hundred pages of statistical investigation, decided that the price of pork in the Eastern District of Berlin in the years 1895–1900 was "determined by supply and demand", had been wasting his time.

We are also in agreement that, if we are to go much beyond qualitative generalities, we need further information

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of a much more specialised character. On the assumption of normal demand conditions we can deduce, for instance, interesting propositions about the *direction* of probable price change. But to arrive at knowledge about the *magnitude* of change we need information about elasticity.

There is no disagreement, therefore, about the desirability of statistical knowledge here. If the mythical Schmoller student had given us information about elasticity we should all agree that he would not have been wasting his time. But there is disagreement about the interpretation of the significance of such information once it is procured. Some think that by sufficient statistical investigation of this sort we can discover permanent quantitative laws and in this way put economics on the same footing in this respect as the natural sciences. Others—I count myself of their number—are doubtful of this. They think that there are reasons inherent in the nature of our subject matter why this hope is vain. To quote Professor Pigou :—

> "Even if the constants which economists wish to determine were less numerous, and the method of experiment more accessible, we should still be faced with the fact that the constants themselves are different at different times. The gravitation constant is the same always. But the economic constants—these elasticities of demand and supply—depending, as they do, upon human consciousness, are liable to vary. The constitution of the atom, as it were, and not merely its position, changes under the influence of environment. . . . . This malleability in the actual substance with which economic study deals means that the goal sought is itself perpetually shifting, so that, even if it were possible by experiment exactly to determine the values of the economic constants to-day, we could not say with confidence that this determination would hold good also of to-morrow."[1]

No doubt even here it would be very unwise to push scepticism all the way. It may be that, although some of the "constants" are liable to rapid change, so that statistical findings which are valid to-day are no longer valid to-morrow, others have a rather more long-lasting validity. Examples will readily occur to those familiar with the econometric literature of recent years. Nevertheless I think there is a real divergence of opinion here which probably ultimately

[1] *Economics of Welfare*, 3rd Edition, pp. 9-10.

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involves deep-seated differences concerning the place of consciousness in the universe.

But—and this is the point which is so often misconceived—whatever view we may take on this issue, our views on the desirability of bigger and better realistic studies are certainly not affected unfavourably. Indeed, if we take—as I take—the more sceptical view, our view of the importance of such studies will be enhanced rather than diminished. Popular inspection of recent methodological discussion of these matters has jumped to a conclusion which is precisely the opposite of the truth. If we are really convinced that we have, as it were, continuously to rediscover the magnitude of some of our constants, then how much more urgent, how much more obligatory, are the claims of continuous investigation. The chemist or the physicist may indeed hope that within a finite time, he, or at least his descendants, may have discovered *all* the necessary empirical information—applications thenceforward to be a matter of tables and formulæ. But for the economist if he wishes—as we all wish—to go beyond mere qualitative generalisation, there can be no such hope. Day by day, in Sisyphus-like activity, he must discover his coefficients anew.

IV

7. I conclude with one reflection of a rather wider nature. The term methodology, as it is used in connection with economics, has come to cover two distinct, though perhaps related, fields of discussion. On the one hand it covers discussions concerning the way in which our investigations should be conducted—the problem of method in the narrow sense—on the other hand, discussions concerning the nature of the subjects studied and the significance and logical status to be attached to the results achieved.

Now it has always seemed to me that it is the second of these groups of topics which, at our present stage of development, offers problems of real intellectual interest. Now that we have a great mass of detailed studies which, we are convinced, mean something, it is surely useful to try to ascertain exactly what is their general field of reference and what degree of significance can be attached to their results. It is useful both for purposes of systematisation and for purposes of application. To know the ultimate

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nature of our subject matter is to be in a position, as Marshall would say, to perceive the one in the many and to establish relationships between propositions hitherto regarded as discreet. To know the logical status of our conclusions is to be in a position to apply our knowledge and to establish fruitful relationships with other fields of research.

The first group of topics, questions relating to procedure, has always seemed to me to offer much less scope for interesting or fruitful speculation. To discuss the method appropriate to a particular enquiry which one is about to undertake is a useful and often enthralling occupation. But, at this distance from Galileo and Newton, to discuss the method of any science *in vacuo* does not seem particularly necessary or entertaining. Perhaps there was a stage in the history of economics when this needed to be done; although I am inclined to believe that the main interest of the methodological discussion here has always been in the other field. But for practising economists, at any rate in England, this is surely a closed question. We all agree that in general we need both induction and deduction, observation and theoretical system; and that the important thing is to suit the method to the job. I can conceive that, from time to time, in regard to whole groups of topics, some emphasis one way or the other may be needed. In regard to recent developments of the theory of money, for instance, it may be salutory to emphasise the need for verification; in regard to historical studies of certain secular trends, it may be useful to press for more precise statement of the hypotheses which it is desired to verify. But in general, surely, the thing is sterile. Only in discussion of the significance of our results, do considerations regarding the respective rôles of different methods present problems of sufficient general interest to warrant separate discussion.

It is no accident of personal predilection, I suggest, that in the classification attempted above, both the live issues (paragraphs 5 and 6) are questions relating to the logical status of our assumptions or our results, whereas the issue of method in the narrow sense (paragraph 4) is to be found in the catalogue of issues that are to be regarded as essentially dead.

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